

FEDERAL MARITIME COMMISSION

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SMARTSTONE PRIVATE LIMITED

Complainant,

-against-

Formal Docket No. 1946(F)

GENERAL NOLI USA, INC., and
SAVINO DEL BENE FREIGHT
FORWARDERS (INDIA) PVT LTD,

Respondents.

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**JOINT MOTION FOR APPROVAL OF SETTLEMENT AGREEMENT;
DISMISSAL OF THE COMPLAINT WITH PREJUDICE; AND STAY OF
BRIEFING SCHEDULE PENDING APPROVAL OF SETTLEMENT AGREEMENT**

Complainant Smartstone Private Limited ("Smartstone"), and respondent General Noli USA, Inc. ("General Noli"), by its undersigned attorneys, Clyde & Co US LLP, hereby jointly move for approval of the proposed settlement agreement attached hereto as Exhibit A (the "Agreement") and a stay of the briefing scheduling pending a determination by the Federal Maritime Commission (the "Commission")'s on the joint motion to approve the Agreement; and upon approval of the Agreement, Smartstone and General Noli further move for dismissal with prejudice of Smartstone's complaint against General Noli and Savino Del Bene Freight Forwarders (India) Pvt Ltd ("SDB") in Formal Docket No. 1946(F).

The parties respectfully submit that the proposed Agreement meets the Commission's criteria for approval of settlement agreements and therefore should be approved.

I. BACKGROUND

On or about August 13, 2014, the Commission served upon GENERAL NOLI and SDB (collectively, "respondents"), a Small Claim Form for Informal Adjudication and

For SMARTSTONE PRIVATE LIMITED

Aaditya Mittal
Director

Information Checklist designated Informal Docket No. 1946(I) wherein Smartstone (1) alleges that respondents violated sections 10(d)(1) and 10(d)(4) of the Shipping Act of 1984, 46 U.S.C. §§ 40101 *et seq.*, in respect to one shipment of "Random Polished Granite Slabs" from Bangalore, India to Houston, Texas, in Container No. MSKU395899/7, under bill of lading A712005108, by allegedly releasing the goods to the buyer without receiving original bills of lading; and (2) seeks damages in the amount of \$22,191.07, which constitutes the total amount of invoice number SSPL/8154/2011-12, plus interest (the "Informal Complaint").

On September 22, 2014, pursuant to 46 C.F.R. §§ 502.304(e) and 502.311 respondents filed their Refusal to Consent to the Informal Adjudication of the Claim. That same day, respondents also filed their Answer and Request for an Oral Hearing, denying liability for Smartstone's claims and asserting affirmative defenses.

On September 30, 2014, the Commission served a Notice of Assignment docketing the Informal Complaint as a formal complaint styled, *Smartstone Private Limited v. General Noli USA Inc. and Savino Del Bene Freight Forwarders (India) Pvt Ltd*, Docket No. 1946(F) (the "Complaint"), and assigned the proceeding to Administrative Law Judge Erin M. Wirth.

On or about October 30, 2014, the parties submitted a joint status report and General Noli filed a motion seeking additional information.

On February 27, 2015, Judge Wirth issued an Order denying respondents' request for oral argument, requiring submission of additional information and setting forth a briefing schedule. Due to settlement discussions involving non-parties to this proceeding, respondents requested and received extensions of time to the briefing schedule with the current schedule requiring respondents' opposition brief to be filed on July 16, 2015, and Smartstone's reply to be

filed on August 6, 2015.

Smartstone and respondents have agreed to settle the disputes between them.¹ The parties respectfully submit that the mutual concessions made for good and valuable consideration in connection with the Agreement adequately address the outstanding issues between them in this matter, and that the Agreement should be approved and the instant proceeding dismissed with prejudice. The parties seek to avoid the time, expense, and uncertainty of litigation and settle all disputes arising from the instant proceeding.

II. THE COMMISSION SHOULD STAY THE BRIEFING SCHEDULE PENDING A DETERMINATION OF THE INSTANT MOTION

In the interest of conserving resources and efficiency, and the Commission's strong and consistent policy of encouraging settlements, the parties respectfully request a stay of the briefing schedule in the instant proceeding until after the Commission's determination of their joint motion seeking approval of the Agreement.

III. AUTHORITY FOR SETTLEMENT

Under the Administrative Procedure Act, 5 U.S.C. §554(c) (1) and Rule 91 of the Commission's Rules of Practice and Procedure, the Commission has the authority to approve the Agreement. See *Seagull Maritime Agencies Pvt. Ltd. v. Gren Auto., Inc.*, 2013 WL 9808686 (F.M.C. Sept. 4, 2013) (quoting 46 C.F.R. §502.91(b)) ("Using language borrowed in part from the Administrative Procedure Act, Rule 91 of the Commission's Rules of Practice and Procedure gives interested parties an opportunity, *inter alia*, to submit offers of settlement 'where time, the nature of the proceeding, and the public interest permit.'"). The Commission's strong and

¹ The parties respectfully submit that the Agreement is confidential and request that the Agreement be filed under seal pursuant to 46 C.F.R. § 502.5. The parties assert that the settlement deals with a payment made to resolve all claims related to the instant proceeding and contains commercially sensitive information that should be protected from public disclosure. See *Global Link Logistics, Inc., v. Hapag-Lloyd AG*, 2015 WL 1928868, at *7 (F.M.C. Apr. 14, 2015).

consistent policy of “encourag[ing] settlements and engag[ing] in every presumption which favors a finding that they are fair, correct, and valid” militates in favor of approving the Agreement. *Inlet Fish Producers, Inc. v. Sea-Land Serv., Inc.*, 29 S.R.R. 975, 978 (ALJ 2002) (quoting *Old Ben Coal Co. v. Sea-Land Serv., Inc.*, 18 S.R.R. 1085, 1091 (ALJ 1978)).

IV. THE AGREEMENT IS FAIR, REASONABLE, ADEQUATE, DOES NOT VIOLATE PUBLIC POLICY AND IS IN THE PUBLIC INTEREST

The Agreement meets the Commission’s Criteria for approval. Where “it is the considered judgment of the parties that whatever benefits might result from vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement.” *Delhi Petroleum Pty. Ltd. v. U.S. Atlantic & Gulf/Australia - New Zealand Conf. and Columbus Line, Inc.*, 24 S.R.R. 1129, 1134 (ALJ 1988) (citations omitted). Where, as here, the Agreement is fair, reasonable and adequate, does not contravene any law or public policy, and is the result of good-faith negotiations between the parties who determined that the benefits of the Agreement outweigh the costs of continued litigation, the Agreement should be approved.

The parties’ decisions to settle were made independently and based on careful consideration of the merits and the potential litigation costs. The parties entered into this settlement willingly, and the settlement is not the product of fraud, duress, undue influence, collusion, coercion or mistake, and thus is not inconsistent with public policy.

The Agreement provides for immediate payment of a certain amount to Smartstone and allows respondents to stop incurring litigation costs associated with this proceeding. *See Seagull Maritime Agencies Pvt. Ltd.*, 2013 WL 9808686 at *4 (recognizing the benefits of compromising a claim for the benefit of immediate payment and ceasing litigation costs); *see also Global Link Logistics, Inc.*, 2015 WL 1928868, at *7 (“Commission proceedings

can be terminated by mutual settlement for amounts less than those originally sought in the complaint and without admissions of statutory violations.”). The parties seek to settle the issues arising from the instant proceeding without an admission or determination of liability and to conserve the time and resources of parties and the Commission in accord with the public interest. *See id.*, at *4 (“[S]ettlement of the issues in this proceeding will result in reducing the time and costs that would be associated with further litigation, both for the Commission and the Parties. Such time and cost savings, from the Commission's perspective, are in the public interest.”).

Thus, under the factors set forth in *Old Ben Coal*, the Commission should approve the Agreement. *Old Ben Coal*, 18 S.R.R. at 1093 (“[I]f a proffered settlement does not appear to violate any law or policy and is free of fraud, duress, undue influence, mistake or other defects which might make it unapprovable despite the strong policy of the law encouraging approval of settlements, the settlement will probably pass muster and receive approval.”).

V. CONCLUSION

For the reasons set forth above, the parties respectfully request: (1) that the Commission stay the briefing schedule pending a determination on the instant motion for approval of the Agreement; (2) that the Commission approve the Agreement; and (3) that the instant proceeding be dismissed with prejudice.

Dated: New York, New York and Karnataka, India
July 15, 2015

For SMARTSTONE PRIVATE LIMITED


Director

For SMARTSTONE PRIVATE LIMITED

Smartstone Private Limited

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